

L2A™

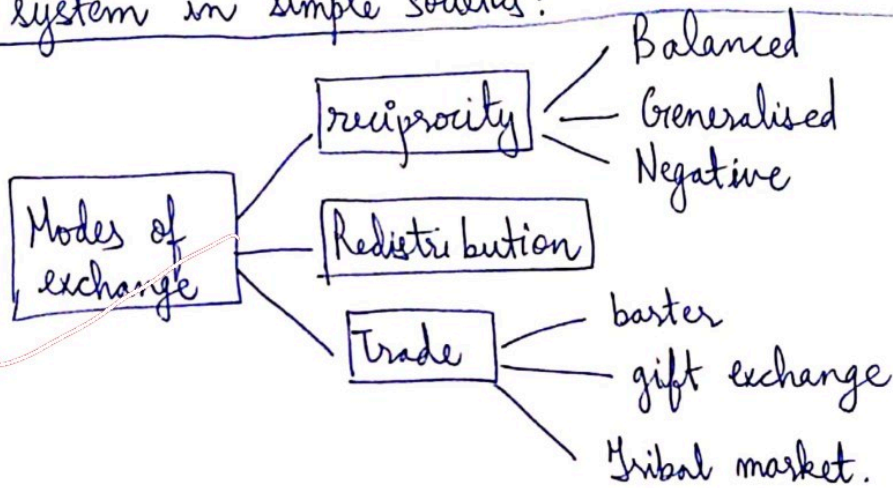
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(b) Economic System

Economic system includes production, ~~consumption~~ distribution and consumption of goods & services.

Different modes of exchange govern economic system in simple societies:



Malinowski in his book 'Argonauts of Western Pacific (1922)' argued that underlying basis of economic system in simple societies is social.

He explained through example of Kula exchange among Trobriand islanders

Nash (1962) argued that economic system in simple societies is studied through their socio-cultural content.

While ~~state~~ modern societies use principle of maximisation and rationality to understand the economic system. The ~~so~~ simple societies have social relations which govern economic relations.

For eg: Potlatch among Kwakiutl involves destruction of valuables but it helps in maintaining social order of society.

Hence, in simple societies economic system are governed by social relations.